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10.2 Money Matters



Focus Questions:

- *What is a customary service tip in the US?*
- *Why do many international students open accounts with American banks?*
- *What are some documents banks will generally require in order to open an account for an international student?*
- *Why is it important that students who do open an account with an American bank to do so with one registered with the Federal Deposit Insurance Corporation (FDIC)?*
- *How much can sales tax vary depending on which state a student is studying in?*

Currency

The currency of the United States is the US Dollar. There are 100 cents to one dollar. The dollar is available in \$1, \$2, \$5, \$10, \$50, and \$100 denominations.

All notes are the same size and predominantly green, so it can sometimes be easy to confuse them. Students should watch out that they do not give a \$10 bill when they intend to give \$1.

Because of the confusion that can occur around the green bills, the US Bureau of Engraving and Printing has recently issued currency that features other colors, in order to help people (particularly the visually impaired) better distinguish among the different denominations.

The most common US coins come in denominations of one cent (penny), five cents (nickel), 10 cents (dime), and 25 cents (quarter). A 50-cent coin (half dollar) and dollar coin are also in circulation, but these are less common.

Banking

International students may want to open an account at a US bank, many of which offer student accounts and services. It may help them save on international transaction charges and make managing their money easier. As a first step, students can go to their current bank and ask if they have partnerships with US banks.

Banks in the US can operate on a regional, state, or city basis. They come in different sizes and offer different services, so students should research several options to determine which one is best for their needs.

Whichever bank they do choose, students should make sure it is a member of the Federal Deposit Insurance Corporation (**FDIC**). The FDIC provides banks with insurance to protect consumers' money, so if a bank closes, the FDIC will pay customers the amount of money in their account up to \$250,000.

America's **major banks** are:

- **Chase Bank**
- **Bank of America**
- **Citibank**
- **Wells Fargo**
- **U.S. Bank**
- **HSBC USA**
- **PNC Bank**

- **Capital One**
- **TD Bank**

Every bank will have its own requirements for opening an account. Students will usually need to bring the following documents with them to open a bank account:

- Their passport;
- Their I-94 card;
- Their I-20, DS-2019, or I-797 approval notice;
- Any secondary form of identification they may have (such as their Student ID card, birth certificate, state driver's license, or a letter from the International Students and Scholars Office);
- An enrollment verification letter from their school;
- Other documentation specified by the bank.

They will also have to supply their local address and deposit a minimum amount of funds in the account (anywhere from \$25 to \$100 USD).

There are different kinds of accounts, for example, checking or savings. Some factors to consider in choosing an account type include their policies regarding fees for services such as ATM access, checking, and overdraft protection. It is usually a good idea for students to open a checking account so they can make bill and rent payments with a personalized check.

A bank account is the best place to deposit large sums of cash. Students should not keep a lot of money in their dorm room or apartment, or they should carry it with them.

Payment Methods

The majority of US stores accept a variety of payment methods, including cash, credit card, and debit. However, some smaller retail outlets in the US – such as movie theaters, convenience stores, and gas stations – may refuse to accept payment in bills larger than \$20; this is to protect themselves in case the money is not legitimate.

All the major banks offer Internet banking, and Internet banking is a widely accepted method of paying bills and conducting other transactions. Many universities offer online payment options for tuition and account payments. Students should check with their education institution for more details.

Visa and MasterCard are the two most widely accepted credit cards. Other common credit cards include American Express, Diners Club, and Discover. Students' Visa or MasterCard from their home countries may be accepted in the US, but they should check with their bank beforehand to confirm. They should be aware of exchange rates and any foreign transaction fees. It is a good idea to have at least one credit card, if only for use in an emergency. However, many international students have experienced problems when they do not understand how to use credit cards responsibly and quickly end up with large amounts of debt.

ATMs (Automated Teller Machines) are widely available in the US and can be found in shopping centers, airports, grocery stores, convenience stores, and banks. Most are operated by one of the major banks, but people can make withdrawals from ATMs that are not operated by their own bank; however, an extra fee of \$2 or \$3 will apply. Students should also check with their bank in their home country to find out what kind of international withdrawal fees it charges before attempting to use their ATM card to withdraw from US ATMs.

Students should additionally check with their home bank to see whether their current bank card will be accepted at US ATMs, and to find out if the networks used by both banks – such as Cirrus, Plus, Maestro – are compatible (i.e., if they work together with no problems). Each network also has an online ATM locator, which may be useful to find a compatible ATM.

All ATMs can be used for cash withdrawals. Students can also use them to deposit cash or checks, pay bills, print account statements, and transfer money between accounts. They may also be able to withdraw money from their credit cards at American ATMs. Fees and interest rates can be high, so they should find out the details from their credit card company before they depart. Also, they should tell their bank that they will be using their bank cards/credit cards overseas. If they don't, the bank may think their card has been stolen when students use it in the US and freeze their account.

Traveler's Checks and Money Transfers

One way to transfer money to the US is using traveler's checks. These can be purchased at most banks and come in a variety of denominations. They are secure and can be cashed at any American bank or currency converter. However, the use and issuing of traveler's checks in the US is not as common as it used to be.

It is also possible to transfer money using a bank draft from another country, but it might take up to three weeks for it to clear in the American bank and there will likely be a fee for the service.

Some banks can also transfer money electronically into a US account. Fees vary by institution, but costs average about \$35. If students plan to “wire transfer” funds often, it may be best to set up a US bank account at a large international bank that frequently handles such transactions.

Some governments have rules about how much money can be taken out of their countries. Before leaving for the US, students should find out whether their host education institution requires any documents – such as an enrollment confirmation letter – to authorize a transfer of funds.

Tipping

Tipping for service (i.e., adding some extra money to a bill for an individual service provider) is part of American culture. It is customary to tip bartenders, restaurant servers, hairdressers, and cab drivers by adding approximately 15% to the total amount of a bill, since the tip is not usually included in the bill amount. Students should only withhold a tip if they receive exceptionally bad service.

Sales Taxes

When customers purchase something in the US, they typically have to pay sales tax on top of the item’s list price. Sales tax varies by state and county and can range from less than 1% to over 10%. Food items such as milk, bread, and butter are usually tax-exempt.

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